CanaExtract SP

Class A shares – dividends	4-8%
Minimum Investment:	$1M
Class B shares – dividends	6-12%
Minimum Investment:	$5M

ISIN:
CUSIP:

CanaExtract Fund

Institutional Investment Memorandum

Patent-Pending Cannabis Extraction, Manufacturing & Distribution Platform

Executive Summary

The CanaExtract Fund provides investors with exposure to a proprietary, patent-pending cannabis oil extraction technology and vertically integrated manufacturing platform positioned to capitalize on one of the fastest-growing segments of the global cannabis industry: cannabis oils, concentrates, medical formulations, and vaporization products.

Unlike traditional cannabis investments that focus primarily on cultivation or retail sales, CanaExtract is designed to own and operate the critical infrastructure layer of the cannabis ecosystem. The platform generates revenue across multiple stages of the value chain including extraction, toll processing, manufacturing, white-label production, packaging, distribution, international exports, and branded consumer products.

The company's core competitive advantage lies in a proprietary solvent-free extraction technology capable of delivering significantly higher yields, superior terpene preservation, lower operating costs, and greater regulatory compliance than conventional extraction methods. Combined with a highly scalable business model and recurring revenue streams, the platform is positioned to become a leading extraction and manufacturing partner for licensed operators throughout North America and international medical cannabis markets.

1. Industry Overview & Market Opportunity

The Evolution of Cannabis

The cannabis industry is rapidly transitioning from a cultivation-based market to a manufacturing and extraction-driven industry.

Historically, cannabis companies focused on:

- Growing flower
- Retail dispensaries
- Wholesale flower sales

However, market data demonstrates that consumer demand is increasingly shifting toward:

- Cannabis oils
- Vape cartridges
- Disposable vape products
- Concentrates
- Tinctures
- Soft gels
- Edibles
- Beverage additives
- Medical cannabis formulations

Today, more than 54% of all cannabis biomass is converted into extracted oil products, making extraction and manufacturing the most valuable and fastest-growing segment of the cannabis supply chain.

Global Market Opportunity

Cannabis Vaporizer & Concentrates Market
Current Market Size:
Approximately US$5.7 – US$6.5 Billion

Projected Market:
US$14.7 – US$25+ Billion by 2030–2035

Expected Growth Rate:
Approximately 14–15% CAGR

Growth Drivers:
Consumer Preferences

Consumers increasingly prefer:

- Vape products
- Concentrates

- Precise dosing products
- Smoke-free consumption methods

These products offer:
- Faster onset times
- Greater convenience
- Improved portability
- Enhanced consistency

Medical Cannabis Adoption

Medical cannabis programs continue expanding globally.
Countries including:
- Germany
- United Kingdom
- Australia
- Israel
- Switzerland

are increasingly adopting cannabis oil-based treatments rather than raw flower products.

International Legalization

As more countries legalize cannabis, demand for GMP-certified oils and manufactured products continues accelerating.

This creates substantial opportunities for extraction and manufacturing platforms capable of supplying global markets.

Canadian Market Opportunity

Canada remains one of the world's most mature cannabis markets.

Annual Industry Size

- Legal cannabis sales exceed C$5.5 Billion annually

Fastest Growing Product Segment

Cannabis extracts and inhaled products have increased market share from approximately:

- 18% to 30% of all legal cannabis sales.

The Canadian vape segment alone is expected to grow:

- 2024:
    - US$315 Million

- 2030:
    - US$695 Million
    - This growth rate significantly exceeds traditional flower sales growth.

United States Market Opportunity

Michigan

Michigan has emerged as one of the largest cannabis markets in North America.
Advantages include:

- Large cultivation base
- Mature retail infrastructure
- Significant concentrate demand
- Competitive production environment

Thousands of kilograms of cannabis flower require processing annually, creating substantial demand for extraction services.

New York

New York represents one of the largest emerging opportunities in cannabis.
Key Drivers:

- Population exceeding 20 million
- Rapidly expanding retail footprint
- Limited processing capacity
- Strong regulatory support

Industry analysts expect New York to become one of the largest cannabis markets in North America over the next decade.

International Medical Markets

The Canadian facility is expected to provide access to:

- Germany
- United Kingdom
- Australia
- EU Medical Markets

These markets command significantly higher pricing than recreational cannabis channels and generally favor GMP-certified cannabis oils and extracts.

2. The Industry Problem

Despite billions of dollars invested into cannabis cultivation and retail infrastructure, the industry continues to struggle with profitability.

Problem #1 – Commoditization of Flower

Cannabis flower has increasingly become a commodity.
Consequences:

- Declining wholesale pricing
- Excess cultivation capacity
- Reduced margins
- Financial stress across operators

Many cultivators produce quality flower but cannot maximize its economic value.

Problem #2 – High Extraction Costs

Traditional extraction systems often require:

- Multi-million-dollar equipment investments
- Expensive solvent systems
- Highly specialized operators
- Significant maintenance expenses

This creates barriers for cultivators seeking to enter oil production.

Problem #3 – Quality Loss During Processing

Conventional extraction methods frequently:

- Destroy valuable terpenes
- Degrade cannabinoids
- Reduce flavor profiles
- Limit premium product development

The result is lower-quality oil and reduced consumer demand.

Problem #4 – Lack of Processing Infrastructure

Many cultivators:

- Cannot afford extraction systems
- Lack technical expertise
- Have no manufacturing capabilities

As a result, substantial value remains unrealized within the supply chain.

Problem #5 – Regulatory Changes

The U.S. hemp-derived cannabinoid market faces increasing regulatory restrictions.
By late 2026:

- Approximately 99% of intoxicating hemp products may become illegal
- Roughly US$28 Billion in market demand may be redirected toward licensed cannabis operators

The industry requires compliant extraction and manufacturing solutions capable of meeting this demand.

3. CanaExtract's Solution

Proprietary Patent-Pending Technology

At the center of the investment thesis is a patent-pending extraction platform developed specifically to solve the industry's most significant challenges.

Technology Benefits

- Superior Yield
- Traditional Methods:
    - 2–5% extraction yields
- CanaExtract:
    - 4–12+% extraction yields

Higher yields mean:

- More oil produced
- Greater profitability
- Better economics per kilogram processed

Superior Terpene Retention

- Traditional methods often destroy valuable terpene profiles.

CanaExtract retains approximately: 9–11+% terpene content

resulting in:

- Better flavor
- Improved aroma
- Enhanced consumer experience
- Higher value finished products

Solvent-Free Processing

Advantages include:
- Cleaner production
- Lower regulatory risk
- Improved safety
- Better environmental profile

Lower Production Costs

The proprietary system significantly reduces:
- Equipment requirements
- Operating costs
- Processing expenses

allowing the company to become one of the lowest-cost producers in the market.

Vertically Integrated Business Model - Revenue Stream 1 – Toll Processing

Growers provide cannabis biomass.

CanaExtract:
- Processes material into premium oil
- Retains a portion of production as compensation
- Earns processing fees

Benefits:
Growers
- No capital expenditure
- Access to superior technology
- Better yields

CanaExtract

- Acquires premium oil inventory
- Generates recurring revenue
- Builds long-term customer relationships

This model creates a highly scalable and capital-efficient acquisition strategy.

Revenue Stream 2 – Proprietary Oil Production

The company will maintain its own cultivation and processing licenses.

Resulting products include:

- Bulk cannabis oils
- Medical formulations
- International exports
- Premium ingredients for manufacturing

This creates additional margin capture across the value chain.

Revenue Stream 3 – White Label Manufacturing

The company manufactures products for third-party brands.

Services include:

- Product formulation
- Filling
- Packaging
- Branding
- Fulfillment

Revenue Sources:

- Manufacturing fees
- Packaging fees
- Distribution fees
- Recurring production contracts

This creates stable and predictable cash flow.

Revenue Stream 4 – Branded Consumer Products

The company intends to launch premium products including:

- Vape cartridges
- Disposable vape pens
- Tinctures
- Soft gels
- Concentrates
- Medical formulations

Owning consumer brands provides the highest potential margins.

Revenue Stream 5 – International Distribution

The Canadian platform provides access to global markets.

Products can be distributed to:

- Germany
- Australia
- United Kingdom
- Additional medical jurisdictions

This creates opportunities beyond North American markets.

Why CanaExtract Could Become a Billion-Dollar Company

The largest companies in emerging industries often control infrastructure rather than end products.

Examples include:

- Intel (semiconductors)
- TSMC (chip manufacturing)
- AWS (cloud infrastructure)
- Shopify (e-commerce infrastructure)

Similarly, CanaExtract seeks to become the extraction, manufacturing, and distribution infrastructure layer of the cannabis industry.

Why This Investment Is Superior

Soon to be Patent-Pending Intellectual Property

- Provides defensible barriers to entry.

Multiple Revenue Streams
- Reduces reliance on any single product category.

Regulatory Tailwinds
- Benefits directly from industry consolidation and compliance requirements.

Recurring Revenue Model
- Long-term toll processing and manufacturing contracts create predictable cash flow.

Capital-Efficient Growth
- The toll-processing model minimizes working capital requirements.

International Expansion Potential
- Access to high-value global medical markets.

Attractive Dividend Structure

Class A Shares
- Minimum Investment: $1 Million
- Target Return: 4%–8%
- Potential Buyout Premium: Up to 20%

Class B Shares
- Minimum Investment: $5 Million
- Target Return: 6%–12%
- Potential Buyout Premium: Up to 30%

Fund Term
- Initial 2-Year Term
- Optional Third-Year Extension
- Potential Third-Year Returns Up To 15%

Conclusion

CanaExtract represents an opportunity to invest in the infrastructure underpinning the future of the global cannabis industry. Through proprietary extraction technology, vertically integrated operations, recurring revenue streams, and access to rapidly expanding regulated markets, the company is positioned to capitalize on a multi-billion-dollar global opportunity.

Rather than competing as another cultivator or retail operator, CanaExtract seeks to become the extraction, manufacturing, packaging, and distribution backbone of the cannabis industry—creating a scalable, technology-driven platform capable of generating substantial long-term value for investors.